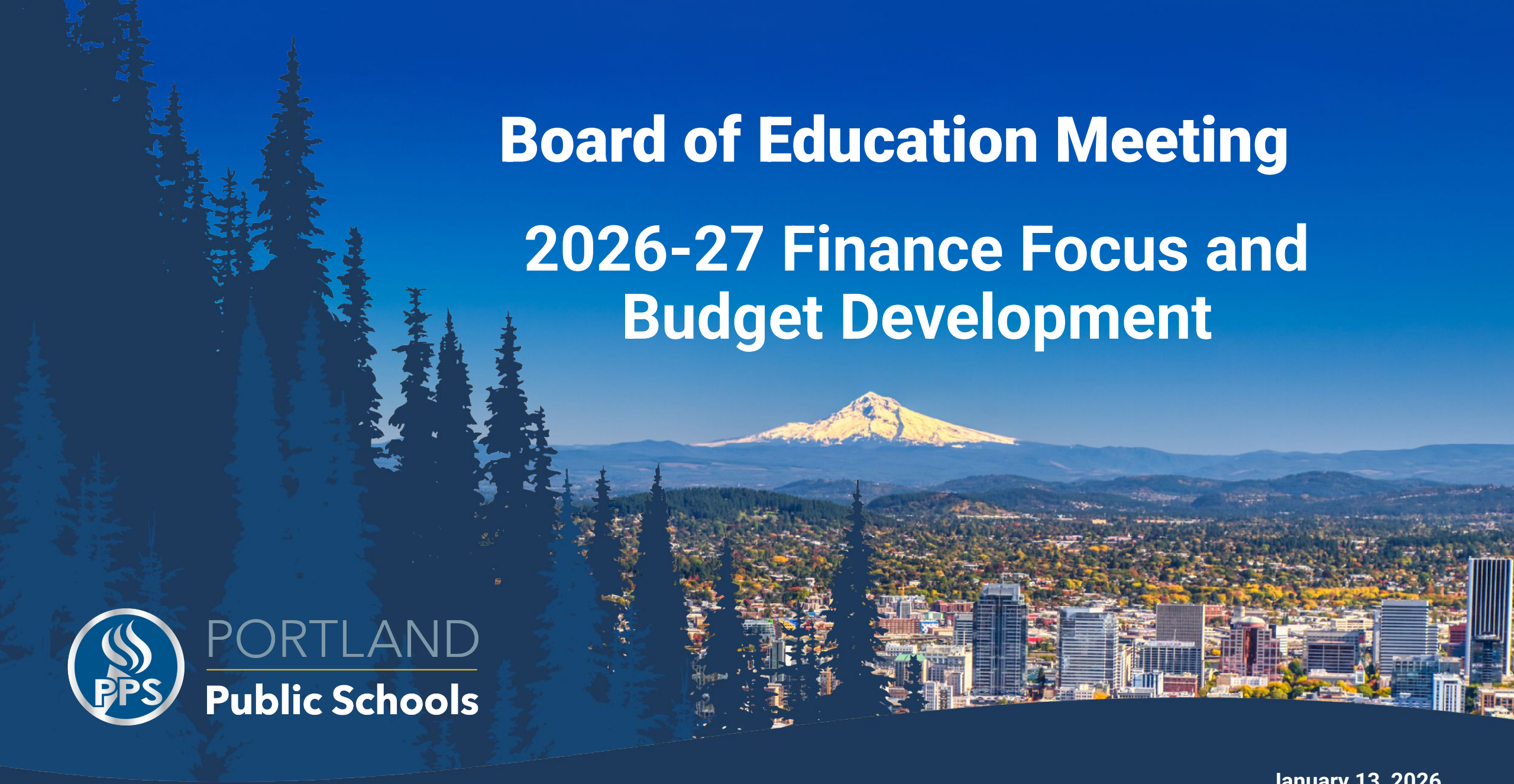
Board of Education Meeting

2026-27 Finance Focus and Budget Development



PORTLAND
Public Schools

January 13, 2026

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

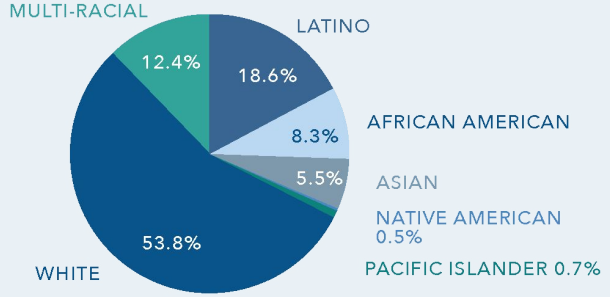
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630	794	356	1,306
STUDENTS IN DISTRICT SCHOOLS	STUDENTS IN COMUNITY BASED PROGRAMS	STUDENTS IN SPECIAL SERVICES PROGRAMS	STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate

TOGETHER, WE *RISE*

WITH **EXCELLENCE.** WITH **PURPOSE.**

Finance Focus & Budget Work Session Topics

- Reporting and Communications
- Annual Financial Report Status Update
- Budget Reminders and Development Activities
- Capital Project Collaboration and Bond Sales



Reporting and Communications

- Financial Reports Online
  - Current Month actuals year over year
  - Budget and year-to-date
  - Narrative and Graphics
- Budget Basics Website
- Contracts Component (under development)



Fourth quarter 2024-25, First Quarter 2025-26, September and October Monthly Reports

Annual Financial Report Status Update

- Federal Guidelines released late, ODE notification to extend reporting deadline
- ACFR will be presented to Audit Committee on January 15th and full Board on January 27th
- Will include Corrective Action Plan for Findings



Budget Reminders

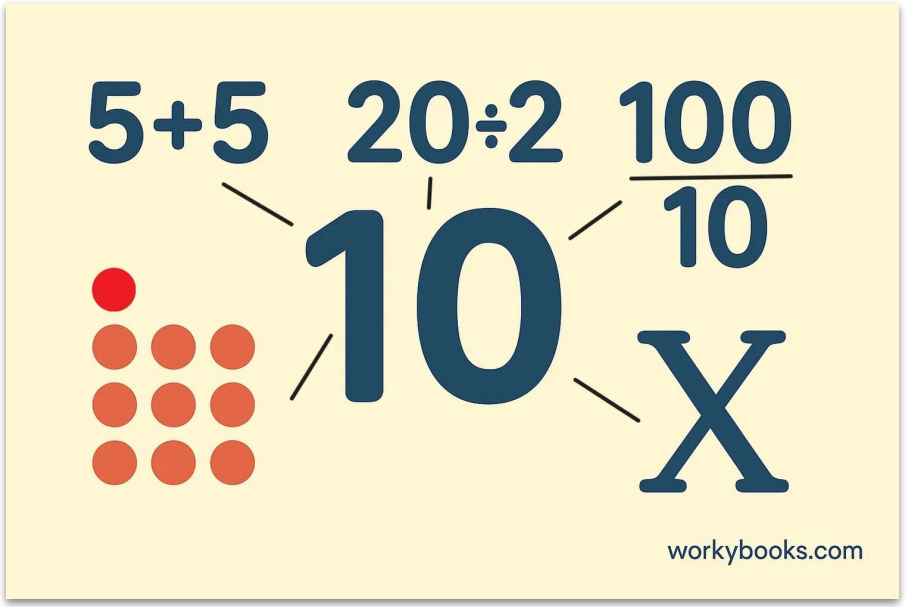
- Current Year Projections
  - Targeting minimum 5% fund balance
  - Using $23.5 million in reserves
  - Proceeding with Caution: Spending Controls in place
  - State Budget projections are down from “End of Session” appropriations
  - Special Revenue Funds appear stable for now
  - Enrollment is continuing to decline



$50 million Budget Gap for 2026-27

Equivalent Values:

- $1,179 per student (42,404 students)
- 14.5 school days ($3.5 million each)
- 312.5 Educator FTEs ($160k each)
- 650 Paraeducators/Instructional Assistant FTE
- 12.5 Annual Elementary School operating budgets ($4.0 million each)
- + 3.0 Student to Classroom Teacher Ratio (averaged across system)



Budget Engagement

- Preliminary Recommendation will be shared at the January 27th Board Meeting
- Leadership Activities
  - Academic Program Review
  - Central Office Benchmarking
  - Information to Union Partners
- Community Awareness
  - Transparency Website and Video Series
  - Principal Toolkits under development



Budget Calendar and Activities

January - March 2026	***School Board Budget Work Sessions*** Inclusive of budget trainings, CBRC work session, and school staffing
April 28, 2026	***Budget Committee Meeting (School Board Work Session)*** *CBRC in attendance* **Proposed Budget:** Superintendent delivers 2026-27 Proposed Budget message and presentation
May 12, 2026	***School Board Meeting*** CBRC presents 2026-27 Proposed Budget Report to the Board Board discussion and feedback focused on the budget
May 19, 2026	***Budget Committee Meeting and Budget Work Session*** Board conducts a public hearing and work session on the Proposed Budget
May 26, 2026	***Budget Committee Meeting*** **Approved Budget**: Board as Budget Committee approves 2026-27 Proposed Budget
June 23, 2026	***TSCC Hearing (pending TSCC confirmation)*** TSCC certifies 2026-27 Approved Budget ***Budget Committee Meeting (School Board Meeting)*** **Adopted Budget:** Board conducts a public hearing, adopts budget, makes appropriations, and imposes taxes

Budget Principles

Principles create a shared understanding of the overarching values that underpin budget development.

- ➔ Providing students with an exceptional educational experience and ensuring their academic success should drive the budget process
- ➔ Decisions should be driven by data
- ➔ Base resourcing decisions on cost-effectiveness
- ➔ Prioritize the Core Program in all schools
- ➔ Critically re-examine patterns of spending
- ➔ Provide every student with equitable access
- ➔ Take a long-term perspective
- ➔ Be transparent

District Continuous Improvement Plan:
Four Goal Areas



ATTENDANCE

LITERACY

MATH

9TH GRADE SUCCESS

Capital Project Collaboration

- Monitoring the School Facility Improvement and Bond Accountability Committees
- Structured partnership with Facilities and School Modernization Offices
  - Budgeting and Cash Flows
  - Contracts and Procurement
  - Framework for bond qualified improvement projects



February Bond Sale

- 2020 Tranche 3 - up to $90,000,000*
- 2025 Tranche 1 - up to $570,000,000*
- Debt Service not to exceed ballot authorization
- Next sale in 2028 based on current cash flow projections
- May experience a credit ratings change as part of the process
- Resources may be used to cover authorized activities so far (2025)



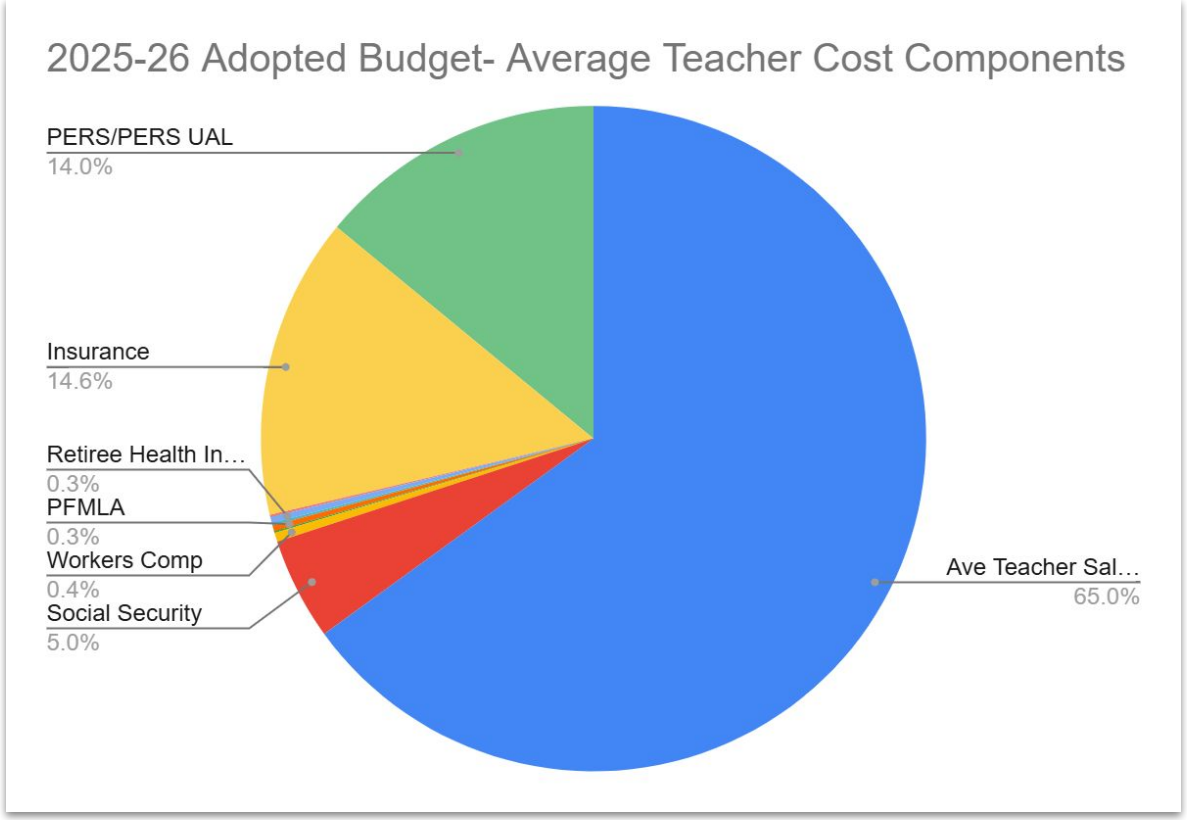
NOTE: Bond proceeds may only be spent on capital projects, not district operations or school staffing.

*** Sales amounts are the maximum, pending market conditions**

Questions?

Michelle Morrison
Chief Financial Officer
mimorrison@pps.net

Board Information Requests



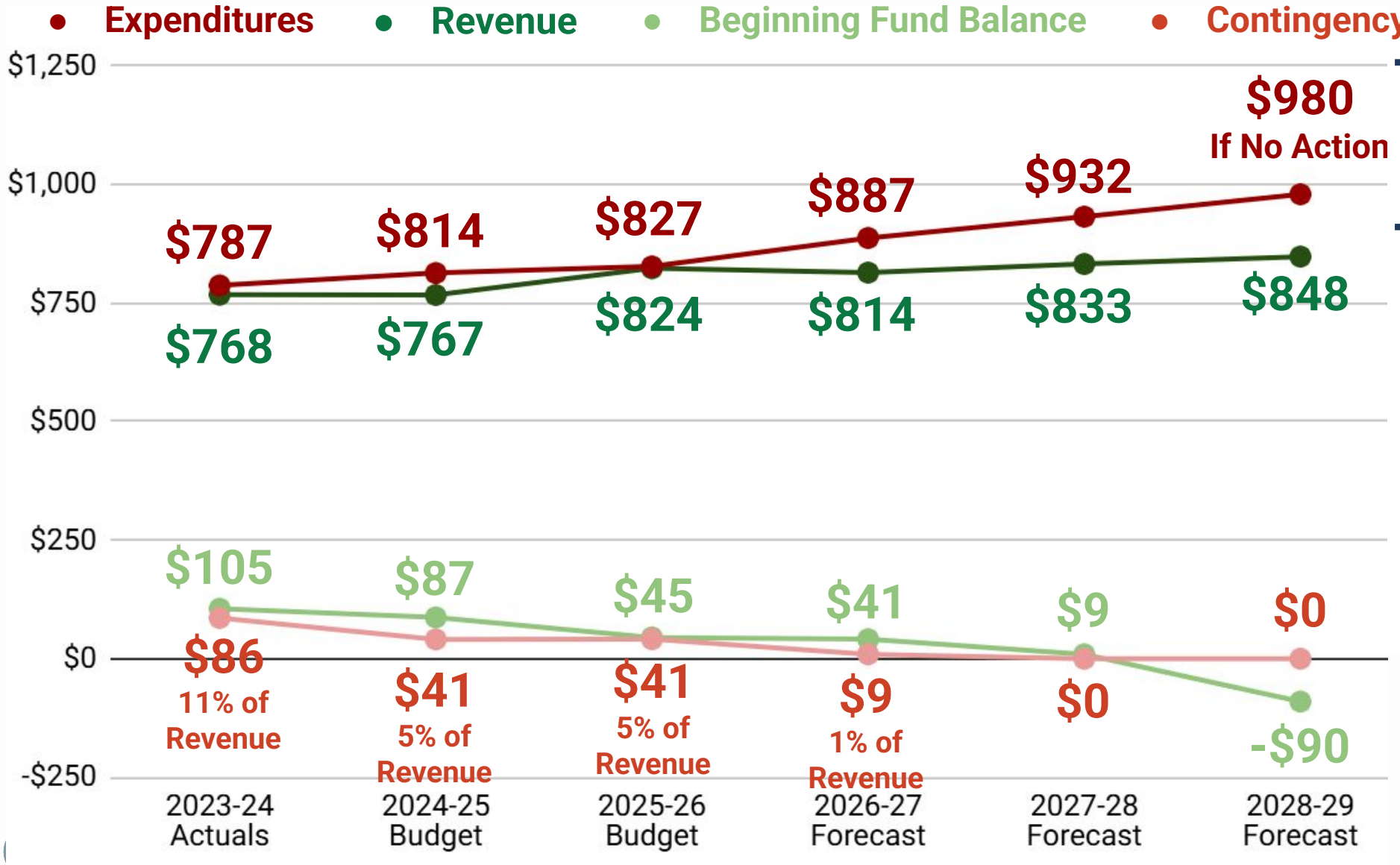
Ave Teacher Salary	$104,579
Social Security	$8,000
Workers Comp	$711
Unemployment Comp	$105
PFMLA	$471
Other Employer Paid Benefits	$188
Retiree Health Insurance	$492
Early Retirement Benefits	$167
Insurance	$23,561
PERS/PERS UAL	$22,578
Total Cost Per FTE	**$160,851**

Unfunded Mandates and Valuation

- Research based on COSA Legislative Reports
  - 2025, 2024
  - 2023, 2022, 2021
- Long-standing rules
  - Division 22 Requirements
  - FAPE (Free and Appropriate Education)
  - Participation in the Public Employee Retirement System
  - Providing equitable access and instruction to English Learners
  - Student Transportation and Access



2025-26 Projected General Fund (In Millions)

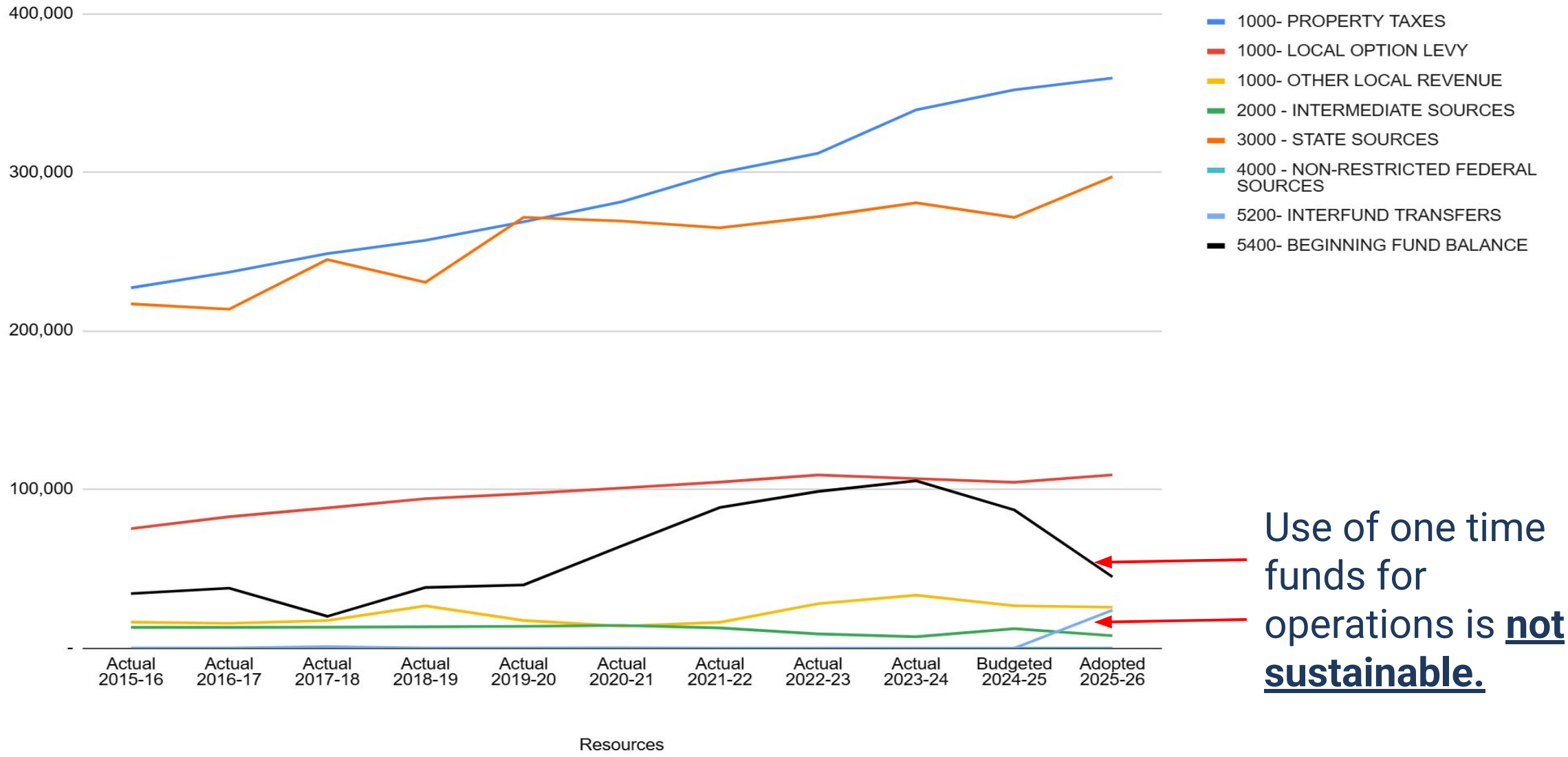


→ Expenses are increasing while revenue declines.

→ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

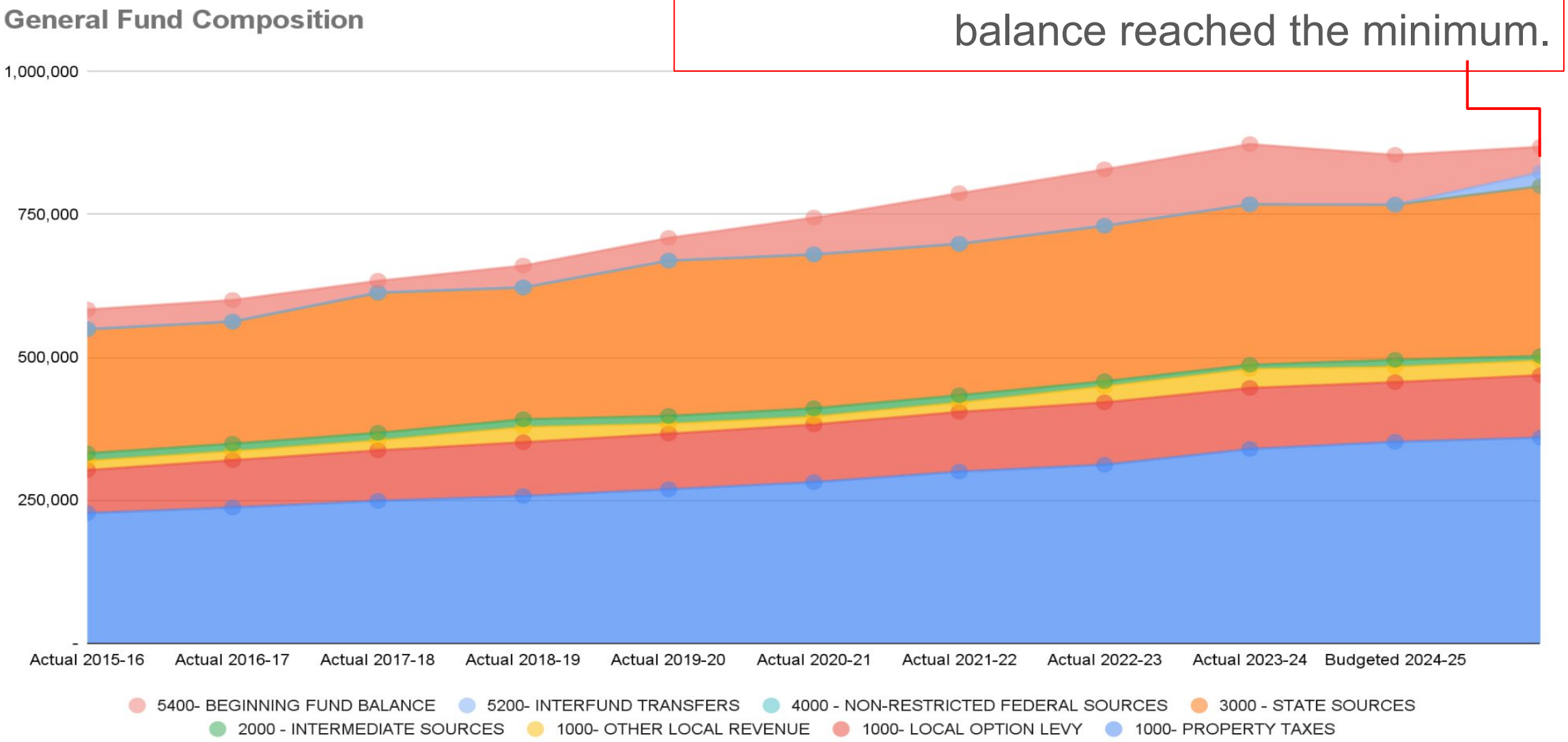
2015-16 to 2025-26 General Fund Revenue (In Thousands)



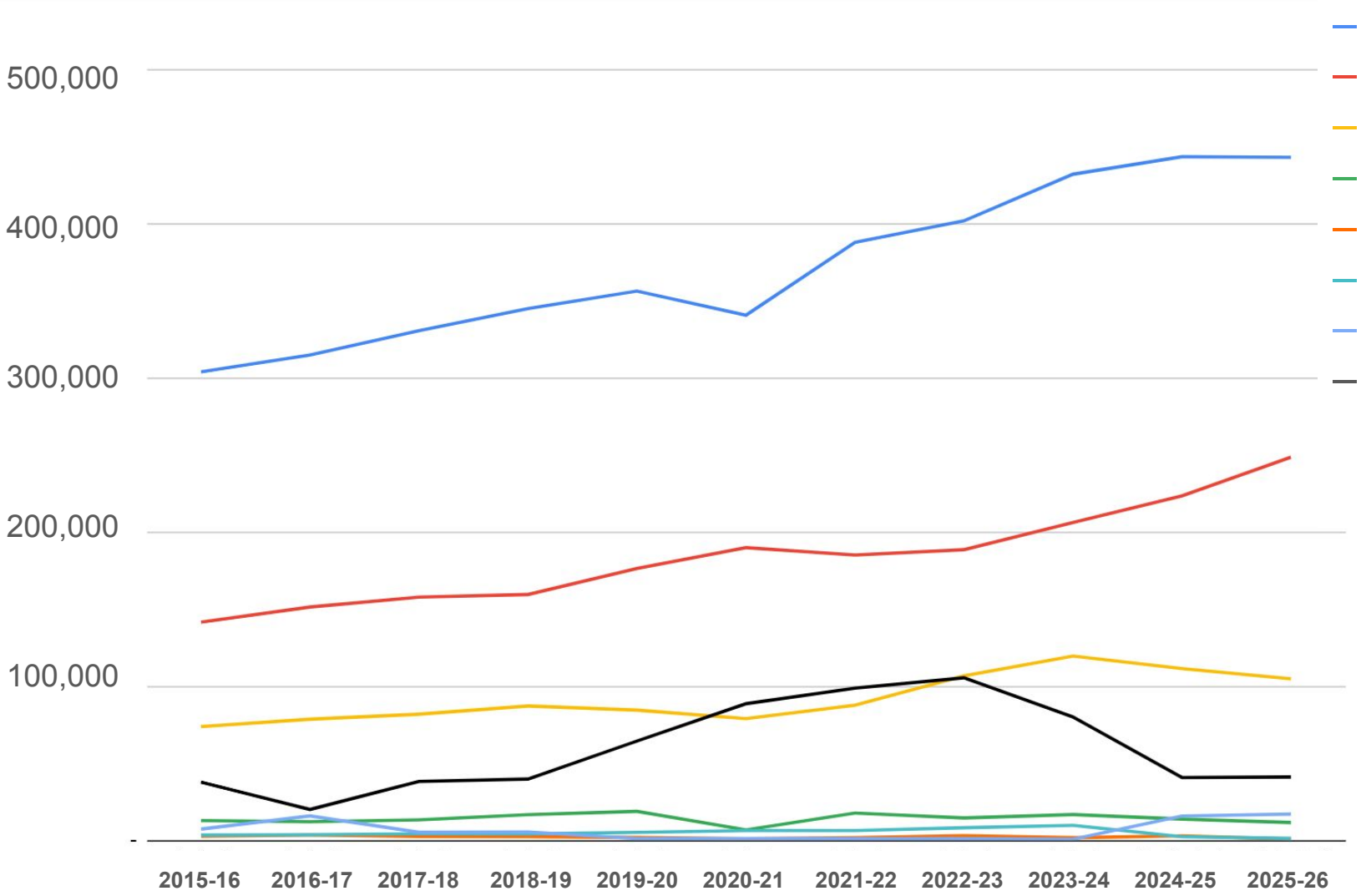
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

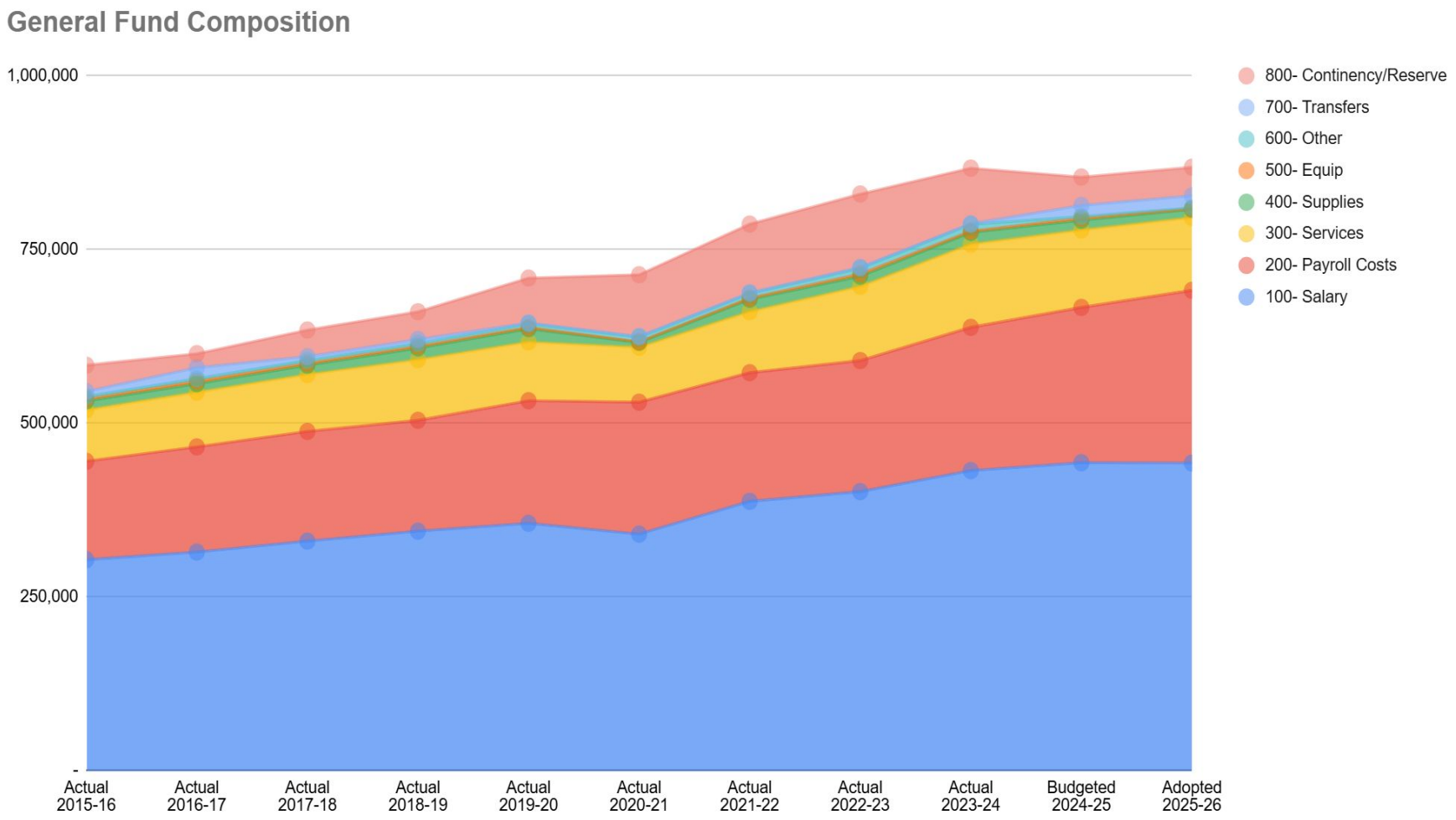


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.

Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts